3.7.5 Fiscal policy, monetary policy and trade

Unit 3.7 Analysing the strategic position of a business · 7 key points

- **Fiscal policy:** government spending and taxation
- **Monetary policy:** interest rates, set by the Bank of England
- **Higher interest rates:** borrowing costs rise and consumer spending falls
- **Taxation:** e.g. corporation tax on profits, VAT on sales
- **Open trade:** few barriers between countries
- **Protectionism:** barriers such as tariffs and quotas to protect domestic firms
- **Trap:** fiscal policy is not monetary policy and is not legislation